

SECTION 1 — INVESTMENT SUMMARY

Investment Item	One-time Cost	Monthly Cost
A1 — Basic digital solution setup (QR ordering, kitchen display, collection)	\$25,000	—
Monthly digital system maintenance	—	\$300/month
B1 — AMK Food Centre outlet setup	\$80,000	—
Additional monthly operational costs (AMK rent + 2 staff)	—	~\$14,500/month
TOTAL	\$105,000	~\$15,100/month additional

SME Go Digital grant may offset ~30% of digital setup cost — net digital cost approx. \$17,500. Reduces total effective investment to approx. \$97,500.

SECTION 2 — BASELINE POSITION (TOA PAYOH, CURRENT STATE)

Item	Monthly	Annual
Revenue	\$27,500	\$330,000
Operating costs	\$18,400	\$220,800
Owner drawings (John + Mary combined)	\$5,000	\$60,000
Net monthly surplus	\$4,100	\$49,200

SECTION 3 — PROJECTED BENEFITS FROM DIGITAL TRANSFORMATION (TOA PAYOH)

Revenue uplift from reduced queue friction, improved customer retention, and digital loyalty driving repeat visits. Error reduction saves remakes and complaint handling.

Scenario	Uplift %	Monthly Add. Revenue
Conservative (8%)	+8%	+\$2,200/month
Target (10%)	+10%	+\$2,750/month

Error reduction savings:
50-60% error rate reduction
Est. \$300-500/month saved in remakes and goodwill gestures
Combined conservative monthly benefit: ~\$2,500/month

SECTION 4 — AMK FOOD CENTRE OUTLET PROJECTIONS

Item	Year 1	Year 3
Daily customers	~150/day	~220/day
Monthly revenue	~\$16,500	~\$24,200
Additional monthly costs (rent + 2 part-time staff)	~\$14,500	~\$14,500
Net contribution before drawings	~\$2,000	~\$9,700

SECTION 5 — COMBINED BUSINESS PROJECTION (YEAR 3)

Item	Toa Payoh	AMK Food Centre	Combined
Monthly revenue	~\$30,250	~\$24,200	~\$54,450
Monthly operating costs	~\$18,700	~\$14,500	~\$33,200
Owner drawings	\$5,000	—	\$5,000
Net monthly surplus	~\$6,550	~\$9,700	~\$16,250

SECTION 6 & 7 — PAYBACK PERIOD & CBA SUMMARY

Payback Analysis		
Total one-time investment	\$105,000	
Monthly surplus improvement (Year 3 vs baseline)	~\$12,150/month	
Estimated payback period	~9-10 months post-AMK break-even	
CBA Summary		
Total investment (one-time)	\$105,000	
Annual benefit at Year 3 (both outlets)	~\$195,000	
3-year total benefit estimate	~\$290,000	
3-year net benefit (less investment + running costs)	~\$130,000+	
Benefit-cost ratio (Year 3)	~2.7x	~2.7x

CONCLUSION

"The C1 scenario delivers a strong benefit-cost ratio of ~2.7x by Year 3, driven primarily by the AMK Food Centre outlet's revenue contribution and the operational savings from the digital transformation. The key risk is the 18-month investment period before the combined business reaches full profitability — requiring careful cash flow management and, ideally, partial grant funding for the digital component."